Preparing the final account

The final account should be at the forefront of the decision-making process once the budget has been signed off. The process should be started as soon as the project moves from the cost plan phase into tender preparation stage.

The decisions that the design team make with regards to procurement strategy, contract format, contractor selection and contract programme will inform the structure and content of the final account. Therefore, the final account process should always be at the forefront of the contract administrator/surveyor's decision-making processes right from the outset and be an integral element of the advice given to the client and the design team.

What is the final account?

The final account is the 'document' that brings together all the financial aspects of the contract, such that it is an agreed, fair valuation of the works properly undertaken by the building contractor.

Having stated quite firmly that the final account compilation begins before the contract is placed, the reality is that the 'adjustment of the contract sum' can only commence in earnest once the contract has been let. Once the contractor is appointed the contract administrator/surveyor needs to set out the processes that will be followed to build the account.

Many contract forms have their own individual clauses relating to the final account. They are similar however and are constructed from the following elements:

1. the original contract sum;
2. any omissions of provisional sums and provisional work and any adjustments against these sums;
3. all additions and omissions as a result of varied work properly instructed by the contract administrator;
4. all additions and omissions as a result of the issue by the contract administrator of revised drawings and/or specifications resulting in agreed re-measures of quantities; and
5. the addition of money due as a result of loss and/or expense incurred due to the granting of extensions of time.

A simple example of a generic account is shown below, assuming the project was placed using drawings and specifications:

Generic final account

Item	**Omit**	**Add**	
1) Original contract sum		50,000.00	
2) Provisional sum account			
	a)Omitgeneral contingency provisional sum	2,500.00	
	b)Omitdaywork provisional sum	1,500.00	
	c)Addsigned and correctly verified daywork sheets		1,000.00
3) Contract administrator instruction account			
	a)Omithardwood veneered doors with yacht varnish finish	3,000.00	
	b)Addplywood, painted flush doors		1,500.00
	c)Addext		900.00

	ra washbasin into the en-suite bathroom with associated plumbing work		
4) Revised drawings account			
	a)Omitdrainage as shown, specified and priced in tender	2,000.00	
	b)Adddrainage as now shown on revised external works drawings as measured and valued by the quantity surveyor and agreed with contractor		2,750.00
	c)Omitboundary fencing to front garden as drawn, specified and priced in tender	1,250.00	
	d)Addboundary wall in facing bricks on concrete strip foundation all as shown on revised landscaping drawings. Measured, valued and agreed with contractor		6,000.00
	10,250.00	**62,150.00**	
		(10,250.00)	
Bas			

ic measured account			
5) Loss and/or expense			
	Addfor the agreed cost of extending the programme as a result of varied works to the drains and boundary wall. Costs as proven by the contractor and agreed by the quantity surveyor and contract administrator as properly incurred for the 2 weeks extension granted		3,000.00
	TOTAL OF AGREED ACCOUNT	**?**	**54,900.00**

Figure 1: simple account summary illustrating how a final account is constructed

Best practice would require that each section is prepared as a separate detailed account with the resultant totals brought forward to this final summary. With a simple contract with few variations it is quite acceptable to keep the accounting process equally simple and accordingly an account as shown above is generally a document that can be agreed between the contract administrator and the contractor.

The construction of an account in this ordered fashion becomes even more important as projects become larger and more complex. For example, there maybe in excess of 100 formal instructions that vary the work any number of new and/or revised drawings may be issued that will require the quantity surveyor and the contractor to re-measure and re-value all amended or new work. Therefore, in these situations, each section of the final account has to stand the full test of audit and needs to be clearly structured to prove that a fair valuation of the works properly executed is undertaken.

Roles and timings

The surveyor is required to work in accordance with terms of the contract and negotiate the final account with the contractor. Best practice would suggest that the surveyor to structure the final account at the commencement of the project.

It is the surveyor's ultimate responsibility to prepare the final account and the surveyor should 'dictate' the terms under which they wish to work. The early decisions taken will inform the later structure of the final account and once the contractor is actually in place, the surveyor must clearly explain what they require.

It is the contractor's responsibility to provide **ALL** information to the surveyor within a set period of time after practical completion, to enable the surveyor to prepare the final account.

Agreeing cost as completed

Best practice is for the surveyor and the contractor to measure, value and agree on the costs of each element of work as it is completed.

For example, it is much easier to agree on the costs of the substructure while the foundations are visible rather than waiting for say 12 months to the end of the contract when they are not accessible and indeed when many other facets of the project may have further clouded the issue.

It is also important to appreciate that people change their jobs and that will include ALL disciplines working on the scheme. Therefore, it is crucial to work closely with the people involved on the scheme at any given time and get signed agreements to the elemental final accounts as they are completed.

Who does what when	**JCT Minor Works**	**JCT Intermediate form**	**JCT Standard form**	**GC Works 1**
Who prepares the final account?	The CA prepares the final account Clause 4.8.1	The CA/QS prepares the final account Clause 4.13	The CA/QS prepares the final account Clause 4.5	The QS prepares the final account Clause 49.2
How is the final account prepared?	The contractor must provide to the CA/QS all necessary info that he wants taken into account. Clause 4.8.1	The contractor must provide to the CA/QS all necessary info to be taken into account. Clause 4.13.1	The contractor must provide to the CA/QS all necessary info to be taken into account. Clause 4.5.1	It is the QS responsibility to prepare a document that takes account of all matters that have materially affected the original contract sum. Clause 49(2)
When is the information to be provided to the CA/QS?	The contractor must provide all the necessary information within the period stated in the contract	The contractor must provide all the necessary information within 6 months of the date of practical	The contractor must provide all the necessary information within 6 months of the date of practical	Not a responsibility on the contractor to provide any

	particulars. Clause 4.8.1	completion. Clause 4.13.1	completion. Clause 4.5.1	information. Clause 49 makes no reference.
When is the final account required to be issued?	The CA must issue the final account to the contractor within 28 days after receipt of all the information. Clause 4.8.1	The CA/QS must issue the final account to the contractor within 3 months of receipt of all the information. Clause 4.13.1	The CA/QS must issue the final account to the contractor within 3 months of receipt of all the information. Clause 4.5.2	The QS must issue the final account to the contractor for approval within 6 months of practical completion. The contractor then has 3 months to approve or reject with reasons. Clause 49(2)
Who issues the final certificate?	The CA issues the final certificate. Clause 4.8.1	The CA issues the final certificate. Clause 4.14	The CA issues the final certificate. Clause 4.15	The project manager issues the final certificate. Clause 48
When is the final certificate issued?	The CA shall issue the final certificate within 28 days of receipt of all the information requested having been provided by the contractor. Clause 4.8.1	The CA shall issue the final certificate within 28 days of having sent the final account to the contractor or from date of issuing Making good defects certificate Clause 4.14.1	The CA shall issue the final certificate within 2 months of having sent the final account to the contractor or from end of rectification period or from date of issuing Making good defects certificate Clause 4.15.1	The project manager issues the final certificate after the expiry of the Maintenance period and assuming that the final account has been agreed. Clause 49(5)

Table 2

Provisional sums

The project comprises a ?5m educational building. The scheme was tendered using fully measured bills of quantities and the contract placed using a JCT 2008 Standard Form.

There are 5 headings that must be addressed within the account (see Table 1):

1. the original/provisional contract sum;
2. any omissions of provisional sums and provisional work and any adjustments against these sums;
3. all additions and omissions as a result of varied work properly instructed by the contract administrator;
4. all additions and omissions as a result of the issue by the contract administrator of revised drawings and/or specifications resulting in agreed re-measures of quantities; and
5. the addition of money due as a result of loss and/or expense incurred due to the granting of extensions of time.

Additionally, if the project is large then the effect of fluctuations/increased cost and the effects of any liquidated damages applications must be considered.

		Omit	**Add**
		?	**?**
	Adjustment of preliminaries provisional sums (PS)		
1	a) Omit PS for new incoming electrical main as AI No. 2	5,000.00	
	b) Add new electrical intake in accordance with attached quotation and instructed in AI No. 2		4,300.00
	c) Add main contractor's on-costs as declared for special attendance at 5%		215.00

	AI No.3		
	a) Omit PS for dayworks labour	2,500.00	
	b) Omit PS for main contractor's percentage on costs @ 150%	3,750.00	
	c) Omit PS for dayworks material	1,000.00	
	d) Omit PS for main contractor's percentage on costs @ 20%	200.00	
	e) Omit PS for dayworks plan	500.00	
	f) Omit PS for main contractors percentage on costs @ 20%	100.00	
3	Add daywork account as attached (example only)		6,850.00
4	Omit general contingency sum - AI 3	25,000.00	
	Adjustment of General Provisional Sums		
5		225.00	

	Add breaking out concrete obstructions as measured on site: 6m2concrete @ ?45/m2		270.00
	Add backfilling void, with MOT type 1 hardcore as directed by clerk of work 6m2@ ?65/m2? (rate as used elsewhere in tender)		390.00
6	Omit provisional sum for mechanical and electrical engineering services as AI No.3	120,000.00	
7	Add final account for works by Messrs Smith and Taylor Services as attached (example only)		137,250.00
		158,275.00	**149,275.00**
		(149,275.00)	
	TOTAL OMIT TO FINAL ACCOUNT MAIN SUMMARY	**9,000.00**	

Table 3: Provisional sums and provisional work account

Table 3 shows how within 1 relatively simple section of a final account, there are other 'sub-accounts' which in this example are the Daywork account and the M&E services account.

This situation can be further complicated, especially with regards to the M&E services accounts because there will almost certainly be provisional sums, variations, re-measures and the like, which have to be considered within this sub-account.

This again reinforces the need to adopt best practice and ensure the account is commenced as early as possible and the compilation of information is clearly ordered and structured.

Specialist instruction accounts

It is also vital to consult with other members of the design team to ensure that what is being valued is correct and fairly calculated. Accordingly, with such key elements of the account being the mechanical and electrical services the input from the consultant services engineers is essential. While all instructions and variations have to be formally issued by the contract administrator, in reality the services engineer will almost certainly take a lead role in this process and therefore such technical input must be sought when compiling the final account.

Best practice advice will require that throughout the entire contract period the contract administrator/quantity surveyor should work very closely with the services engineer (and any other specialist consultants) so that as the specialist's accounts are compiled throughout the post contract period and any variations are costed and agreed as work progresses.

Architect's instruction account

		Omit	**Add**
		?	**?**
1	AI No. 1		
	a) Take possession of site on May 13th and complete works within 52 weeks		
	b) Contract value confirmed as ?5m		
2	AI No. 2		

3	AI No. 3		
	a) Omit dayworks provisional sums		
	b) Omit general contingency sum		
	c) Omit PS for M&E Services and place contract with Messrs Smith and Taylor in the sum of ?128,750.00		
	? See provisional sums section for the adjustment of the above items		
4	AI No. 4		
	a) Confirmation of structural engineers advice to increase no. of piles from 62 to 70, to suit revised substructure layout - As agreed quote (schedule 2 quotation) with an extension of 2 weeks being made to the contract completion date now fixed at 54 weeks from 13 May possession date.		16,500.00
5	AI No. 5		
	a) Issue of revised/ new drawings as new drawing schedule ? see amended drawings section		

	AI No. 6		
	a) Confirmation of services engineers instruction to change conduit from plastic to galvanised steel in kitchens. Extra as measured and valued by professional QS and contractors QS: costs included within services account		
		0.00	**16,500.00**
			(0.00)
	TOTAL ADD TO FINAL ACCOUNT MAIN SUMMARY		**16,500.00**

Table 4: Architects instructions account

A project of this scale would clearly have more than 6 Architects Instructions (AI) and therefore the preceding AI account is simply illustrative of the likely items covered by AI.

It is again quite clear, however, that within one 'account', there are 'subaccounts' and/or direct referral to other accounts where items are more logically dealt with.

Note that the different ways that variations can be dealt with and these options are detailed and defined within the contract conditions. To support this point, we have shown under AI No. 4 the increased costs of the piling due to the issue of revised engineer's drawings. On this occasion, the contractor was asked to provide an all-inclusive price for the variation in accordance with Clause 5.2.2 of the contract.

On this occasion the accepted Schedule 2 Quote includes for ALL associated costs with which the contract administrator must advise the contractor in writing prior to commencement. In addition, a Schedule 2 quotation must include for any direct loss and or expense incurred as a result of the contract period being extended for example. The formal notification of acceptance by the contract administrator of the Schedule 2 quotation must advise of the new contract completion date.

Rules for the valuation of variations

There are slight variations between contracts, but by reference to the JCT Suite of contracts, the following are the specified options:

1. The architect/contract administrator may request the contractor to provide a lump sum quote for a variation if that is considered in the best interests of the scheme or is for work upon which there is no basis for negotiation. This lump sum quote is deemed to cover for all extra costs including any preliminaries and loss and/or expense. This is a Schedule 2 quotation.
2. Where additional work is the same or very similar to that within the tender document, then the rate within the tender shall be so applied to the varied works.
3. Where additional work is the same or similar to that within the tender, but the circumstance of execution is dissimilar for example out of normal sequence working, then the rate within the tender shall be applied with an uplift or lump sum extra to reflect the cost of the varied circumstance.
4. If the varied work is totally dissimilar to any existing work, then the quantity surveyor or contract administrator shall make a fair valuation of the works.
5. If the work relates to an approximate quantity, then the same rates as in item B) and C) above are applied.
6. If the work is of such a nature or needs to be undertaken in a piecemeal fashion or is out of sequence or the like, the work shall be valued using Daywork rates.

Clause 5 of the JCT suite of contracts provides the full details of the valuation rates and further reading of the contract rates is recommended.

Revised drawing account

		Omit	**Add**
		?	**?**
AI No. 5 - Issue of Revised Drawings			
i)	Current drawing 001 Rev B New drawing 001 Rev C Revised drawing amends the plastered blockwork entrance walls to fair face brickwork as attached re-measurement.	4,850.00	7,300.00
	Curre		

	nt drawing 011 Rev D New drawing 011 Rev E Revised drawing amends the hardwood window boards to MDF as attached re-measure.		
iii)	Current Drawing E7/13F New Drawing E7/13G Revised structural engineers drawing changes the structure of the roof top plant room from steel framed to lightweight timber framed, as attached re-measure of entire structure.	28,200.00	18,750.00
iv)	New Drawing E7/15 This new drawing introduces galvanised steel goal posts to large window openings at each stair landing as new measure.		7,327.00
v)	Current drawing LSA/ 22 New drawing LSA/ 22A Revised landscape architects drawing now amends the galvanised steel balustrading to the caf? terrace to s ainless steel with h rizontal wires. Omit as BQ ref 3/12a-c Add as quote from sub-contractor +10% oh+p	14,500.00	21,300.00

			(55,865.00)
	TOTAL ADD TO FINAL ACCOUNT MAIN SUMMARY		**1,467.00**

Table 5: Revised drawing account

The illustration provided is by necessity quite simplistic and we have not actually provided the re-measures associated with varied works. It is clearly incumbent upon the quantity surveyor/contract administrator to prepared detailed 'measures' of the omissions from the original tender document and the new measurement of the works as now required.

It is important to ensure that all drawings are evaluated and for the purposes of this example, we have shown how site conditions and re-appraisals can require completely new works. In this example we have measured and valued the new steel goal posts that the structural engineers have found it necessary to introduce after the contract was entered into.

The re-measurement of any works must be undertaken in accordance with the rules under which the original tender documents were produced. The New Rules of Measurement came into force on 1 January 2013 and should be used going forward.

Dealing with variations to variations

Once work is varied, the original works have been replaced by the new/varied works. Therefore, it is essential that such variations are clearly documented so that if varied works are subsequently varied, the correct omission is made i.e. the VARIED works are omitted and replaced by the new variation.

It is necessary to be very clear and ordered with the compilation of the revised drawing account. This is essential because on large and complex projects, the extent of change and number of drawings can be significant in number and value.

See Valuation of variations .

Adjustments

The recovery of loss and/or expense should be added to the assessment of the final account.

If liquated damages are due to the client as a result of failing to complete the works within the contract period, it is not the responsibility of the contract administrator to make any such deduction.

The contract administrator/quantity surveyor should calculate any damages due and advise the client that he may deduct damages if he so chooses. It is only the client who can then make any deduction from monies due to the contractor.

For example, there has been an agreed loss and/or expense claim of ?10,000 which will be included in the final adjustment. This addition is over and above that which was included and agreed within the Schedule 2 Quotation for the varied piling works. The inclusion of such an addition will have required the contract administrator to have formally advised the contractor that after due consideration the contract period has been extended beyond the 54 works so adjusted to take account of the extra piling works.

Summary and statement of final account

			Omit		**Add**
1)	Contract sum				5,000,000.00
2)	Adjustment of provisional sums account		9,000.00		
3)	Adjustment of architects instructions account				16,500.00
4)	Adjustment of revised drawings account				1,467.00
5)	Addition of loss and/or expense claim for monies due to contractor as ascertained by CA				10,000.00
		?	**9,000.00**	**?**	**5,027,967.00**
					(9,000.00)
	TOT				

	AL OF FINAL ACCOUNT				

Table 6: Final account summary

The above summary shows how the contract administrator or quantity surveyor has calculated the final adjustment of the contract sum. This summary and all supporting information and re-measures must then be sent back to the contractor for his comment and agreement.

At this stage, the contractor may well not agree with the submissions of the contract administrator or quantity surveyor and it will therefore be a period of a negotiation between the 2 parties that will ultimately result in the agreement of the final account. Many financial issues are a matter of opinion and costs will be negotiated between the parties until a balance or agreement can be reached.

Once an agreement is reached between the parties, the contract administrator or quantity surveyor shall send to the contractor a statement of the final account. This statement should be signed in duplicate.

Statement of final account

Table 7 is an example of a statement of final account. There are no fixed parameters under the JCT contract as to how such a document should be presented.

There is indeed only a requirement for the contract administrator to issue a statement of all adjustments as defined under contract clause 4.5 and this could of course comprise of the final summary as shown in Table 6. Best practice however requires that there is separate statement which both parties (or their consultants) sign as their agreement to the adjusted contract sum: i.e. the final account.

STATEMENT OF FINAL ACCOUNT

CLIENT: **Springfield District Council**

ADDRESS: **Evergreen Terrace, Springfield , SF1**

WORKS: **Springfield 6th Form College - New Student Centre**

			Omit		Add
1)	Contract sum				5,000,000.00
2)	Adjustment of provisional sums account		9,000.00		
3)	Adjustment of architects instructions account				16,500.00
4)	Adjustment of revised drawings account				1,467.00
5)	Addition of loss and/or expense claim for monies due to contractor as ascertained by CA				10,000.00
		?	**9,000.00**	**?**	**5,027,967.00**
					(9,000.00)
	TOTAL OF AGREED FINAL ACCOUNT **(Excluding VAT)**			**?**	**5,018,967.00**

Signed:	Signed:
Date:	Date:...
QS/Contract Administrator:	Contractor:
Ward and Mellor Chartered Surveyors Goldstone Road Springfield SF3	Albion Developments Slade Street Springfield SF5

Table 7: Statement of final account

Fluctuations

Fluctuation is the adjustment of the contract sum as a result of compliance with the appropriate contract clause. In the JCT Form it is Clause 4.21 which in turn is dealt with by Schedule 7. (The example structure specifically excluded any adjustments with regards to fluctuations.)

The clause enables the contract sum to be adjusted due to take account of such matters as changes in:

1. **Option A ? Contribution, levy and tax ?** i.e. only adjustments as a result of legislative changes will be considered;
2. **Option B ? Labour, materials and tax changes ?** rates of labour, cost of materials and legislative changes will be considered but based only on the submissions made by the contractor. Such increases are based upon the net difference between the rates included in the tender and the amended rates as agreed between the contractor and the quantity surveyor
3. **Option C ? Formula adjustment ?** adjustment of elements of construction subject to any limitations as noted in the contract by using published indices for all construction works. The contractor and the quantity surveyor will agree the application of the indices to the monthly valuations and such computations will be added into the resultant final account as monies properly due to the contractor due to increased (could be decreased as well) costs of construction.

Note that unless the contract period is exceptionally long most contracts are entered into as 'fixed price' which means that the fluctuations clauses are struck through. In these instances no adjustment is made due to increased costs and the risk of price rises is passed over to the contractor. In practice this does not mean that no allowance is made, instead the contractor will be required to include a sum to cover for any possible increased costs. This puts the risk onto the contractor.

If a contract is intended to be 'fixed price' only then there is a clear obligation to state this within the tender documents and strike out the relevant clauses (JCT 4.21) in any contract.

Legislative changes

In circumstance where the rate of VAT has changed then, even if the contract is deemed to be 'fixed price', this would not include any legislative changes to the rate of VAT. If applicable VAT should be added to the contractor's invoices and recovery based upon the rate prevailing at the date of invoice.

Other changes to duty, for example on fuel, are more usually at the risk of the contractor on a 'fixed price' contract sum. On a contract where Clause JCT 4.21 has not been struck out then as a minimum all legislative changes to levy, contribution and taxes would be recoverable within interim valuations and ultimately within the final account.

Damages for non-completion

It is only the client who can deduct damages from any monies due. The contract administrator or quantity surveyor can and indeed should advise the client that they are able to deduct damages. The contract administrator should advise the client of the correct procedures to follow if damages are to be deducted. Failure to observe the strict contract conditions of deduction could subsequently prevent or at least complicate the matter of damages deduction.

The final account is always the final adjustment of the contract sum and must stand the test of audit as being the monies properly due to the contractor for the works correctly undertaken. Therefore the final account must stand alone as the agreement between the contract administrator or quantity surveyor and the contractor and the signed statement of final account is the document that confirms this agreement.

Link between the final account and the final certificate

The statement of final account generally has no status under the contract but it does bring about a sense of finality to the negotiations between the contract administrator or quantity surveyor and the contractor. The signing and exchange of such a document signifies that there is an agreement by the parties to the total of the monies due to the contractor and that the final account figure represents the full and final settlement of all claims and the like.

The final certificate is a strict requirement to be issued under the contract. The effect of the issue of the final certificate is defined under the terms of the contract (JCT clause 1.10). It signifies that the works and any defects have been made good and are now complete.

The final certificate does not give conclusive proof that the works etc are in strict compliance with any other requirements under the contract but the final certificate does provide conclusive evidence that the contract sum, as adjusted by the various clauses within the contract, has been agreed between the contract administrator or quantity surveyor and the contractor.

The final certificate shall state at what value the final account total has been agreed and what payments on account have been such the residual monies due to the contractor (or possibly even monies due to the client if found to have been over paid). Clause 4.15 of the JCT contract provides the detailed supporting information and readers are recommended to fully appraise themselves of the finite detail.

Figure 8 is an example of how a final certificate might be structured.

Ward and Mellor Chartered Surveyors		**Final Certificate**	
Issued by: address:	P Ward Ward and Mellor Goldstone Road Springfield SF3	**Job Reference:**	CT/2005.1305
	Springfield District Council Evergreen Terrace Springfield , SF1	**Certificate no:**	13 FINAL

Contractor: **address:**	Albion Developments Slade Street Springfield SF5	**Issue Date:**	May 13th 2009
Works: **situated at:**	Springfield 6th Form College - New Student Centre	**Contract dated:**	December 5th 2007
	This Final Certificate is issued under the terms of the above-mentioned Contract.		
	The Contract Sum adjusted as necessary is ?5,018,967.00		
	Total of Interim Valuations 1-12 inclusive is ?4,925,687.00		
	The difference between the above-stated amounts is ?93,280.00		
	I / We hereby certify the sum of		
	Ninety three thousand two hundred and eighty pounds only		
	as a balance due:		
* Delete as Appropriate	* to the Contractor from the Employer		
<span class="strikethrough_text"			

>* to the Employer from the Contractor			
	All amounts are exclusive of VAT		
To be signed by or for the issuer named above	Signed		
The terms of the Contract provide that, subject to any amounts properly deductible by the Employer, the said balance shall be a debt payable from one to the other from the			
(1) Delete as Appropriate.	(1)14th /21st/28th day after the date of this Certificate		
	The Contractor has given notice that the rate of VAT chargeable on the supply of goods and services to which the Contract relates is 15%		
15% of the amount certified above is ?13,992.00			
Total of balance due and VAT amount (for information) ?............... *This is not a Tax Invoice*			

Distribution:	Original to:	Duplicate to:	Copies to:	
	Employer	Contractor	Q.S.	Clerk of Works
			Consultants	File

Table 8: Example structure of a final certificate

Impact of the Construction Act on final account

Changes to Housing Grants, Construction and Regeneration Act 1996 (The Construction Act 2011) came into force in England and Wales on 1 October 2011 and in Scotland on 1 November 2011.

Most of the revisions are around the area of payments and how and when these are made. The key changes are:

- **Construction contracts can now be made orally as well as in writing**
  This does not materially affect the requirement for the surveyor to measure, value and negotiate the final account.
- **Abolition of ?Tolent? clauses regarding responsibility for costs in an adjudication**
  This could affect the value of a final account. There may be an increase in the number of financial matters being referred to adjudication as there is no longer any potential for lack of finances to fetter a party?s right to adjudicate.
- **Abolition of ?pay-when-certified? clauses**
  This has a clear impact on contract administration and valuation procedures. It has little overall effect on the way a surveyor compiles the final account. It should be noted that the new Act reaffirms the prohibition of ?pay-when-paid? clauses.
- **Payment notices**
  The change in the contracts is very important to all parties as it places greater responsibility on the contract administrator to issue the payment notice on the contract date whether or not any money is due. This relates to the issue of interim valuations and the sums ultimately payable in the final account will be unaffected.
- **Suspension**
  The previous suspension rights clause is an ?all or nothing? remedy. Failure to pay entitles the contractor to ?suspend the works?. The current provisions permit the suspending party (it could be either contractor or client) to suspend all, or part, of its obligations.
  It should be noted that the intent here is that suspension of ?part? means that it is viable to suspend a complete element without affecting other elements. For example, is not be possible to suspend the electrical installation as this affects the whole project such that the job could not be handed over with only the electrics suspended as the project could not viably be completed.

Final account management using framework agreements

Over recent years there has been an increasing emphasis on the use of framework agreements for the appointment of contractors. They are also useful for consultants.

One of the key reasons behind the increasing use of frameworks is the costs and the delays associated with complying with EU procurement rules for public sector works. The use of a 5-year framework, for example, avoids these costs and delays. The framework is set up using the EU procurement rules and can be used for any future projects to procure the works rather than having to go back through the entire OJEU procedure again.

Framework agreement will provide a mechanism for the surveyor to assess which of the companies on the framework are suitable for their project. It may be that 3 companies are ideally suited and therefore a mini-competition can be undertaken. Each firm would submit a 2-stage price for the works while still using their fixed preliminary rates and agreed mark-up of sub-contractor costs.

Be aware:

- The percentage mark-up on sub-contract package prices should be NET of all discounts such that any discounts offered accrue to the client and not the contractor.
- Check to see what has NOT been priced in the preliminaries section as you will have to pick up those costs in the final account. For example, scaffold, skips, cleaning, transport, etc. All of these could be considered either as preliminary costs or package costs. Check to see where your contractor expects to recover these costs.
- Consider the effects of programme and how any time related costs will increase the value of the final account.

Framework accounts

The structure of any contract that has been procured under a framework agreement can be based upon any available contract. That is, unless the original agreement states how any works are to be contracted.

Framework agreements are not usually prescriptive on the contract used. This means that if we use the JCT Suite of contracts as an example, then all options are available including Minor Works, Design and Build, Standard Form with/without quantities and Prime Cost contract.

The negotiation and settlement of the final account will need to comply with the conditions of contract upon which the project has been based.

?Framework accounts? for the use of a prime cost contract based upon the 2-stage method of procurement.

Case study: Prime cost final account negotiation

The framework contract procurement route utilised the Prime cost form of contract. The contract was let on the basis of a 2-stage procurement using a mini-competition where ?best value? was secured against preliminary costs, percentage mark-up on net sub-contract prices plus programme and quality submissions.

The final account must therefore still follow the basic guidelines. With this type of Prime cost contract the surveyor would need to measure, value and agree the final account in close collaboration with the principal contractor and the individual sub-contractors. The end result will be a summary of a number of individual trade package accounts all separately negotiated and agreed, together with the principal contractor?s preliminaries costs plus the percentage mark-up total on the net accounts.

There can be certain minor variations to this process, for example, instead of a percentage mark-up the contractor, surveyor and client may agree a lump sum overhead and profit recovery. This ring fences the contractor?s recovery and provides a degree of certainty for the client as it removes the open-ended adjustment to sub-contractors? accounts. These are however only minor adjustments to the overall process, which is generally consistent and requires the surveyor to negotiate the settlement of all trade package contractors as the work progresses. These trade package accounts, together with the principal contractor?s tendered preliminaries and on-costs, inform the overall final account.